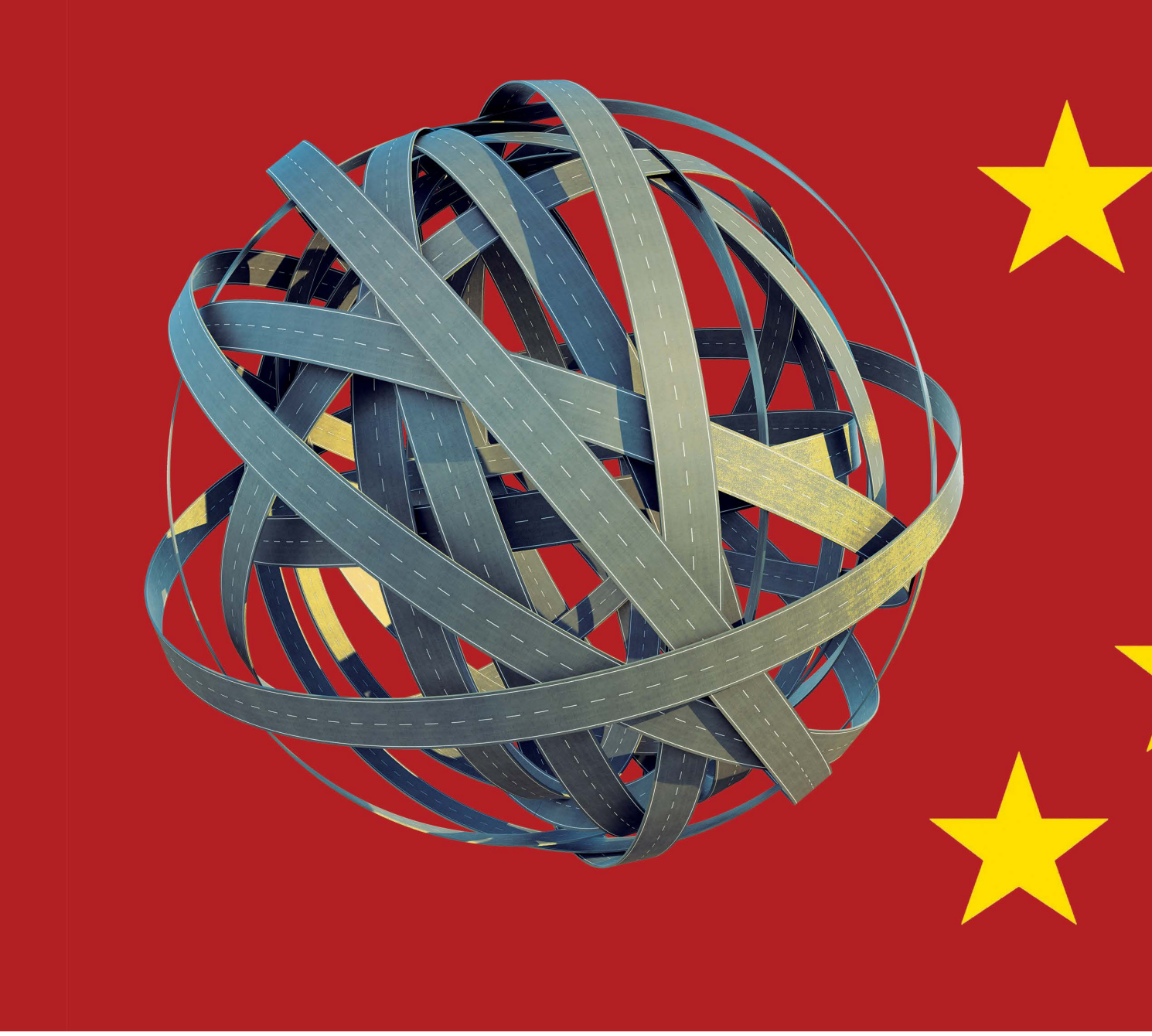


gained considerable economic and, therefore, also political influence in those countries.

But loans that cannot be repaid also mean billions of dollars flowing out of China. Much of that is not coming back, and whatever equity and, with it, political influence the Chinese government has gained in exchange for non-performing loans cannot compensate for the losses in terms of hard currency.

In the immediate region, Ferdinand Marcos Jr, the president of the Philippines, was conspicuously absent from a meeting in Beijing in October last year, which was meant to mark the 10th anniversary of the BRI. He and his government have terminated a series of Chinese-initiated infrastructure projects and will instead be working with Japanese and western corporations. A China-funded high-speed railway connecting the Indonesian capital with Bandung has found it hard to attract passengers because the distance is only 143 kilometres. To make sense, the railway should have connected Jakarta with other metropolitan centres on Java, such as Surabaya or Yogyakarta.

In Myanmar, a Chinese plan to build a hydroelectric power station with a dam at Myitsone in the far north of the country—which was going to flood 600 square kilometres of land, with 80 per cent of the electricity going to China—was suspended in 2017 because of widespread popular opposition to the project. After a military takeover in February 2021, rowdy demonstrations were held outside China's embassy in the old capital Yangon because of what people perceived as Chinese support for the hugely unpopular coup makers. Now, the new ruling junta and the Chinese are talking about reviving the Myitsone project, but that will only lead to more and stronger anti-Chinese sentiments in Myanmar.

In Cambodia, China took advantage of western boycotts

Illustration by **NILANJAN DAS**